The University of Faisalabad

Course Title: Law of Business Organization

Assignment Topic: Memorandum of Association in Pakistan: Whether It Has Lost Practical Importance

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Submission Date: 26th April 2026

Introduction

The Memorandum of Association (MOA) has historically been recognized as the foundational constitutional document of a registered company, defining its fundamental parameters, external relations, and the exact scope of its permitted commercial activities. Under the erstwhile Companies Ordinance, 1984, the MOA possessed an overriding restrictive function, strictly binding a company to an exhaustive "Object Clause." However, the promulgation of the Companies Act, 2017 introduced a paradigm shift in Pakistani corporate jurisprudence. By introducing the concept of the "principal line of business" and permitting companies to engage in "any lawful business," the legislature fundamentally altered the traditional dynamics of corporate capacity.

The primary aim of this research is to critically analyze whether these statutory relaxations have rendered the MOA practically obsolete or whether its role has merely evolved. This assignment will explore the legal issues surrounding the relaxation of the ultra vires doctrine, the transition toward standardized incorporation documents, and the residual regulatory functions the MOA continues to serve. The discussion is structured to first examine the historical context of the MOA and the strict doctrine of ultra vires, followed by a critical analysis of the relevant provisions of the Companies Act, 2017. Subsequently, it will evaluate the arguments for and against the diminished practical importance of the MOA, concluding with a synthesis of the document's modern utility.

The Historical Context and the Doctrine of Ultra Vires

To assess whether the MOA has lost its practical importance, one must first understand its historical utility. Historically, the object clause of the MOA was the ultimate constraint on corporate capacity. Grounded in the seminal English case of *Ashbury Railway Carriage and Iron Co Ltd v Riche* [1], the doctrine of ultra vires dictated that any contract or action falling outside the explicitly stated objects in the MOA was void *ab initio*. A company simply lacked the legal capacity to act beyond its constitutional mandate.

Under the Companies Ordinance, 1984, this doctrine was strictly applied in Pakistan. Consequently, the drafting of an MOA was an exercise in exhaustive legal foresight. Corporate practitioners drafted voluminous object clauses, attempting to cover every conceivable future commercial endeavor to protect the company from ultra vires challenges [2]. The MOA was undeniably of paramount practical importance, as a poorly drafted object clause could paralyze a company's ability to diversify or result in the invalidation of lucrative commercial contracts.

The Paradigm Shift: The Companies Act, 2017

The landscape of Pakistani company law was modernized with the enactment of the Companies Act, 2017, which sought to facilitate the ease of doing business. Section 26 of the Act revolutionized the traditional object clause [3]. Instead of an exhaustive list, a company is now primarily required to state its "principal line of business," which must correspond to its name. Most crucially, the Act provides a statutory blanket authorization, stating that a company may engage in "any lawful business" alongside its principal line, effectively neutralizing the harsh operational constraints of the historical ultra vires doctrine.

Furthermore, the Securities and Exchange Commission of Pakistan (SECP) has standardized the incorporation process. Under the current regime, promoters can seamlessly adopt standard boilerplate MOAs provided through the SECP's eServices portal [4]. This administrative streamlining fundamentally alters the perception of the MOA from a bespoke, heavily negotiated constitutional safeguard into a standardized administrative formality.

Arguments for Diminished Practical Importance

The aforementioned statutory developments present a compelling argument that the MOA has lost its traditional practical importance. Firstly, the effective dilution of the ultra vires doctrine means that external parties dealing with the company no longer need to meticulously scrutinize the MOA to ensure the company has the capacity to contract. The statutory assumption that a company can engage in "any lawful business" provides commercial certainty and protects third parties, thereby reducing the MOA's role as a protective external boundary.

Secondly, the ease of altering the MOA undermines its status as a rigid, permanent constitution. While altering the object clause under the 1984 Ordinance was heavily regulated, changing the principal line of business under the 2017 Act is a streamlined process requiring a special resolution and subsequent reporting to the registrar [5].

Finally, in modern corporate practice, the center of gravity has shifted toward the Articles of Association (AOA) and Shareholders' Agreements. Founders, investors, and corporate lawyers dedicate substantially more time to negotiating the internal governance rules, drag-along and tag-along rights, and board compositions within the AOA, often treating the MOA as a mere procedural checkbox during incorporation.

The Sustained Practical and Regulatory Importance of the MOA

Despite the statutory relaxations, concluding that the MOA has completely lost its practical importance is a legally flawed oversimplification. The document has not become obsolete; rather, its function has transitioned from being primarily restrictive to being regulatory and categorical.

Firstly, the principal line of business fundamentally dictates the corporate identity. Section 10 of the Companies Act, 2017 [6], read with the SECP's naming regulations, requires that a company's name reflect its principal business activity [7]. The MOA ensures that the company's public-facing identity aligns with its actual commercial operations, thereby preventing the public and investors from being misled.

More importantly, the "any lawful business" exemption does not apply uniformly across all sectors. The MOA retains absolute supremacy when dealing with regulated sectors. If a company intends to engage in specialized businesses such as banking, insurance, power generation, or non-banking financial services, it cannot rely on the general "lawful business" clause [8]. The specific objects must be explicitly drafted within the MOA, and prior approval from the relevant regulatory authorities (such as the State Bank of Pakistan or the SECP) is a mandatory prerequisite for incorporation. In these high-stakes sectors, the MOA remains the definitive legal gateway to operation.

Furthermore, from a perspective of corporate governance and investor protection, the MOA provides immediate clarity regarding the primary deployment of corporate capital. While a company may engage in ancillary lawful businesses, the principal line of business legally binds the directors to focus on the core sector for which the shareholders initially invested.

Conclusion

In conclusion, the assertion that the Memorandum of Association has lost its practical importance under Pakistani corporate law is a misconception born from its simplified modern structure. The Companies Act, 2017 undoubtedly stripped away the burdensome, exhaustive object clauses of the past and mitigated the commercial risks associated with the strict doctrine of ultra vires. Consequently, the MOA is less restrictive regarding day-to-day ancillary commercial activities. However, it remains the fundamental document establishing corporate identity, governing nomenclature, and serving as the essential regulatory mechanism for specialized, licensed industries. The MOA has evolved from a rigid legal cage into a streamlined, categorical charter, thereby retaining its indispensability within the legal architecture of business organizations in Pakistan.

Bibliography

Cases

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- Ahmed S, 'The Evolution of Corporate Capacity in Pakistan: A Shift from Restriction to Facilitation' (2019) 15 Pakistan Journal of Corporate Law 45.

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- Securities and Exchange Commission of Pakistan, 'Company Incorporation Guidelines' https://www.secp.gov.pk accessed 20 April 2026.

Footnotes for Main Text (To be inserted at the bottom of respective pages in your final draft):

[1] *Ashbury Railway Carriage and Iron Co Ltd v Riche* (1875) LR 7 HL 653.

[2] Tariq Najib Najmi, *Company Law in Pakistan* (2nd edn, Pakistan Law House 2018) 112.

[3] The Companies Act 2017, s 26.

[4] Securities and Exchange Commission of Pakistan, 'Company Incorporation Guidelines' https://www.secp.gov.pk accessed 20 April 2026.

[5] The Companies Act 2017, s 32.

[6] ibid s 10.

[7] Paul Davies and Sarah Worthington, *Gower's Principles of Modern Company Law* (10th edn, Sweet & Maxwell 2016) 145.

[8] The Companies Act 2017, s 27(2).